

Section : Accountancy Core

Q.1 Sindhu, Neha and Priya are partners, sharing profits in the ratio of 5:3:2. Calculate the new profit sharing ratio and gaining ratio if Neha retires:

1. New profit sharing Ratio of Sindhu and Priya = 1:2
Gaining Ratio of Sindhu and Priya = 3:2
2. New profit sharing Ratio of Sindhu and Priya = 3:2
Gaining Ratio of Sindhu and Priya = 5:2
3. New profit sharing Ratio of Sindhu and Priya = 5:2
Gaining Ratio of Sindhu and Priya = 5:2
4. New profit sharing Ratio of Sindhu and Priya = 7:2
Gaining Ratio of Sindhu and Priya = 4:3

Options 1. 1

2. 2

3. 3

4. 4

Q.2 Sahil, a share holder, failed to pay the money for second and final call of Rs. 20 on 1,000 shares issued to him at Rs. 120 (face value of Rs. 100 per share). His shares were forfeited after the second and final call. Which is correct about share forfeiture-

1. Share Forfeiture A/c will be credited with 1,00,000
2. Share Forfeiture A/c will be debited with 1,00,000
3. Share Forfeiture A/c will be credited with 80,000
4. Share Forfeiture A/c will be debited with 80,000

Options 1. 1

2. 2

3. 3

4. 4

Q.3 Rohan, Bharti and Leela are partners. On the retirement of Rohan, the goodwill already appears in the balance sheet at Rs. 24,000. The goodwill will be written-off:

1. By debiting all partners' capital accounts in their old profit-sharing ratio.
2. By debiting remaining partners' capital accounts in their new profit sharing ratio.
3. By debiting retiring partners' capital accounts from his share of goodwill.
4. By debiting the retiring partners' current account from his share of goodwill.

Options 1. 1

2. 2

3. 3

4. 4

Q.4 Match List-I with List-II

List-I

List-II

(A) Unregistered Debentures (I) Perpetual Debentures

(B) Unsecured Debentures (II) Naked Debentures

(C) Secured Debentures (III) Bearer Debentures

(D) Irredeemable Debentures (IV) Mortgage Debentures

Choose the correct answer from the options given below:

1. (A) – (IV), (B) – (II), (C) – (III), (D) – (I)
2. (A) – (II), (B) – (I), (C) – (III), (D) – (IV)
3. (A) – (III), (B) – (II), (C) – (IV), (D) – (I)
4. (A) – (III), (B) – (IV), (C) – (I), (D) – (II)

Options 1. 1

2. 2

3. 3

4. 4

Q.5 John Ibrahim, a partner in Ancient Tours and Travels withdrew money during the year ending March 31, 2020 from his capital account, for his personal use. He withdrew Rs. 3,000 per month at the beginning of the month. Calculate interest on drawings that should be charged from John Ibrahim, if the rate of interest charged on drawing is 9% per annum.

1. Rs. 1485
2. Rs. 1755
3. Rs. 1795
4. Rs. 1685

Options 1. 1

2. 2

3. 3

4. 4

Q.6 Match List-I with List-II

List-I	List-II
(A) Redeemable Debentures	(I) the debentures which can be transferred by way of delivery and the company does not keep any record of the debentures
(B) Convertible Debentures	(II) these debentures are issued with a specified rate of interest
(C) Specific Coupon Rate Debentures	(III) which are convertible into equity shares or in any other security either at the option of the company or the debentureholders
(D) Bearer Debentures	(IV) which are payable on the expiry of the specific period either in lump sum or in instalments during the lifetime of the company

Choose the correct answer from the options given below:

1. (A) – (IV), (B) – (III), (C) – (II), (D) – (I)
2. (A) – (II), (B) – (IV), (C) – (III), (D) – (I)
3. (A) – (II), (B) – (I), (C) – (IV), (D) – (III)
4. (A) – (III), (B) – (IV), (C) – (I), (D) – (II)

Options 1. 1

2. 2

3. 3

4. 4

Q.7 Which of the following ratios is considered as the solvency ratio?

1. Stock turnover ratio
2. Debtor turnover ratio
3. Debt-equity ratio
4. Current ratio

Options 1. 1

2. 2

3. 3

4. 4

Q.8 Match List-I with List-II

List-I	List-II
(A) Calls in Arrears	(I) Sometimes shareholders pay a part or the whole of the amount of the calls not yet made.
(B) Calls in Advance	(II) When any shareholder fails to pay the amount due on allotment or on any of the calls.
(C) Over Subscription	(III) When number of shares applied for is less than the number for which applications have been invited for

List-I
n

(D) Under
Subscription

List-II

subscription.

(IV) When applications for more shares of a company are received than the number offered to the public for subscription.

Choose the correct answer from the options given below:

1. (A) – (II), (B) – (III), (C) – (IV), (D) – (I)
2. (A) – (II), (B) – (I), (C) – (III), (D) – (IV)
3. (A) – (II), (B) – (I), (C) – (IV), (D) – (III)
4. (A) – (III), (B) – (IV), (C) – (I), (D) – (II)

Options 1. 1

2. 2
3. 3
4. 4

Q.9 Vijay and Manohar share profits and losses in the ratio of 2:1. They admit Prakash as a partner with $\frac{1}{4}$ share in profits with a guarantee that his share of profit will be at least Rs. 50,000. The net profit of the firm for the year ending March 31, 2015, was Rs. 1,60,000. Calculate the amount of profit Vijay will get:

1. Rs. 60,333
2. Rs. 73,333
3. Rs. 50,300
4. Rs. 80,333

Options 1. 1

2. 2
3. 3
4. 4

Q.10 Das and Sinha are partners in a firm sharing profits in 4:1 ratio. They admitted Pal as a new partner for $\frac{1}{4}$ th share in the profits, which he acquired wholly from Das. The new profit sharing ratio of the partners is-

1. 11:4:5
2. 11:5:4
3. 9:4:5
4. 7:3:5

Options 1. 1

2. 2
3. 3
4. 4

Q.11 Which among the following is NOT true?

1. Valid partnership can be formulated even without a written agreement between the partners.
2. Each partner carrying on the business is the principal as well as the agent for all the other partners.
3. Mere co-ownership of a property can amount to partnership.
4. Persons who have entered into partnership with one another are individually called 'partners' and collectively called 'firm'.

Options 1. 1

2. 2
3. 3
4. 4

Q.12 Under the fixed capital method, the capital of the partners shall remain fixed unless additional capital is introduced or a part of the capital is withdrawn as per the agreement between the partners. Which among the following is NOT the feature of the fixed capital method?

1. The partners' capital accounts will always show a credit balance.
2. All adjustments for drawings, salary, interest on capital, etc., are posted

in the current accounts.

3. Under this method, two capital accounts are maintained for each partner.

4. The partners' current account may show a debit or a credit balance.

Options 1. 1

2. 2

3. 3

4. 4

Q.13 An annual report is issued by a company to its

1. Shareholders

2. Auditors

3. Directors

4. Management

Options 1. 1

2. 2

3. 3

4. 4

Q.14 The profits of firm for the five years are as follows:

Year	Profit (Rs.)
2012–13	20,000
2013–14	24,000
2014–15	20,000
2015–16	20,000
2016–17	16,000

Calculate the value of goodwill on the basis of three years' purchase of average profits.

1. Rs. 20,000

2. Rs. 40,000

3. Rs. 60,000

4. Rs. 70,000

Options 1. 1

2. 2

3. 3

4. 4

Q.15 Match List-I with List-II

List-I

(A) Debenture of Rs 100 issued at Rs 110.

(B) Debenture of Rs 100 issued at Rs 100.

(C) Debenture of Rs 100 issued at Rs 90.

(D) Debenture issued to the lender in addition to some other assets already pledged.

List-II

(I) Debenture as collateral security.

(II) Debenture issued at Premium.

(III) Debenture issued at par.

(IV) Debenture issued at Discount.

Choose the correct answer from the options given below:

1. (A) - (II), (B) - (III), (C) - (I), (D) - (IV)

2. (A) - (II), (B) - (III), (C) - (IV), (D) - (I)

3. (A) - (I), (B) - (II), (C) - (IV), (D) - (III)

4. (A) - (III), (B) - (IV), (C) - (I), (D) - (II)

Options 1. 1

2. 2

3. 3

Q.16 The Profit and Loss Appropriation Account is merely an extension of the Profit and Loss Account of the firm, which, among the following, is not shown in the Profit and Loss Appropriation Account?

1. All adjustments in respect of partner's salary.
2. All adjustments in respect of payment to Vendor.
3. All adjustments in respect of interest on capital
4. All adjustments in respect of interest on drawings

Options 1. 1

2. 2
3. 3
4. 4

Q.17 Match List-I with List-II

List-I

(A) Bank (fresh capital introduced)

(B) Interest on drawings

(C) Bank (permanent withdrawal of capital)

(D) Commission

List-II

(I) Debit side of Partner's Current Account

(II) Debit side of Partner's Capital Account

(III) Credit side of Partner's Current Account

(IV) Credit side of Partner's Capital Account

Choose the correct answer from the options given below:

1. (A) - (IV), (B) - (I), (C) - (II), (D) - (III)
2. (A) - (I), (B) - (II), (C) - (III), (D) - (IV)
3. (A) - (I), (B) - (II), (C) - (IV), (D) - (III)
4. (A) - (III), (B) - (IV), (C) - (I), (D) - (II)

Options 1. 1

2. 2
3. 3
4. 4

Q.18 Realisation account doesn't show-

1. Bank Loan Mortgage
2. Bills Payable
3. Furniture and Fittings
4. Partners' Loan

Options 1. 1

2. 2
3. 3
4. 4

Q.19 Rs 50,000 were received in advance for second and final call along with first call. The second and final call was due after two months from the first call. Table F provides for interest on calls in advance at the rate not exceeding per annum and interest on calls in advance amounted to Rs.....

1. 9%, Rs 750
2. 10%, Rs 833
3. 11%, Rs 917
4. 12%, Rs 1000

Options 1. 1

2. 2
3. 3
4. 4

Q.20 Which of the following statements are correct about partnership-

- (A) Each partner carrying on the business is the principal as well as the agent for all the other partners
- (B) If the deed is silent, interest at the rate of 6% p.a. would be charged on the drawings made by the partner
- (C) If the partnership deed is silent about the profit sharing ratio, the profits and losses of the firm are to be shared equally by partners
- (D) Interest on partner's loan is to be given @ 12% p.a., if the deed is silent about the rate

Choose the correct answer from the options given below:

- 1. (B) and (D) only
- 2. (A), (B) and (D) only
- 3. (C) and (D) only
- 4. (A) and (C) only

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.21 When a firm is dissolved, the Balance of Investment Account and Balance of Investment Fluctuation Fund Account, shown by Firm's Balance Sheet are transferred into.....and into.....respectively:-

- 1. Debit Side of Realisation Account, Credit side of Realisation Account
- 2. Credit Side of Realisation Account, Debit side of Realisation Account
- 3. Credit Side of Realisation Account, Debit side of Capital Account
- 4. Credit Side of Realisation Account, Credit side of Current Account

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.22 Sameer and Yasmin are partners with capitals of Rs 15,00,000 and Rs 10,00,000 respectively. They agreed to share profits in the ratio of 3:2. The books are closed on March 31, every year. They admit Ravi on October 1, 2019 in the partnership, who bring Rs 12,00,000 as capital and Sameer also introduced additional capital Rs 3,00,000 on that date. Interest on partner's capital is provided @5% p.a. The amount of interest on the capital of Sameer for the year 2019-20 is-

- 1.55,000
- 2.82,500
- 3.75,000
- 4.50,000

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.23 R, S and K are partners sharing profits in the ratio 4:3:2. R retires; S and K decided to share profits in future in the ratio of 5:3. Calculate the Gaining Ratio.

- 1. 11:21
- 2. 21:11
- 3. 11:12
- 4. 12:11

Options 1. 1

- 2. 2
- 3. 3

Q.24 Which of the following statements results in the reconstitution of a partnership firm :-

- (A) Change in profit sharing ratio among partners.
- (B) Admission of a new partner.
- (C) Dissolution of a partnership firm.
- (D) Dissolution of a partnership.

Choose the correct answer from the options given below:

- 1. (A), (B) and (C) only
- 2. (A), (B) and (D) only
- 3. (A), (B), (C) and (D)
- 4. (B), (C) and (D) only

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.25 A correct journal entry for Transfer of the balance of Profit and Loss Account (a credit balance) to Profit and Loss Appropriation Account: is-

- 1. Profit and Loss Appropriation A/c Dr. To Profit and Loss A/c
- 2. Profit and Loss A/c Dr. To Profit and Loss Appropriation A/c
- 3. Profit and Loss Appropriation A/c Dr. To Partner's Capital/Current A/c's
- 4. Partner's Capital/Current A/c Dr. To Profit and Loss Appropriation A/c

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.26 Arrange the Following Steps to Calculate Goodwill under the Super Profits Method-

- (A) Calculate the normal profit on the firm's capital on the basis of the normal rate of return
- (B) Calculate the average profit
- (C) Calculate the super profits by deducting normal profit from the average profits
- (D) Calculate goodwill by multiplying the super profits by the given number of years' purchase

Choose the correct answer from the options given below:

- 1. (A), (C), (D), (B)
- 2. (B), (D), (A), (C)
- 3. (B), (A), (C), (D)
- 4. (C), (B), (D), (A)

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.27 The Profit on reissue of forfeited shares is transferred to-

- 1. general reserve
- 2. capital redemption reserve
- 3. capital reserve
- 4. reserve capital

Options 1. 1

2. 2

3. 3

4. 4

Q.28 Arrange the following in correct sequence for application of assets in the Settlement of Accounts in Case Of Dissolution of a Partnership firm -

(A) The balance should be applied to repay loans made by the partners to the firm.

(B) The assets of the firm should be used in paying the debts of the firm to third parties.

(C) The balance assets may be used for paying partners proportionately on account of capital.

(D) The asset's residue, if any, shall be divided among the partners in their profit sharing ratio.

Choose the correct answer from the options given below:

1. (C), (B), (A), (D)

2. (B), (A), (D), (C)

3. (B), (A), (C), (D)

4. (C), (B), (D), (A)

Options 1. 1

2. 2

3. 3

4. 4

Q.29 Which of the following is not always an essential feature of partnership?

1. Sharing of profits and losses

2. Relationship of mutual agency among the partners.

3. Liability of partners is always unlimited.

4. Agreement to carry lawful business

Options 1. 1

2. 2

3. 3

4. 4

Q.30 Blue Prints Ltd., purchased building worth Rs.1,50,000, machinery worth Rs.1,40,000 and furniture worth Rs. 10,000 from XYZ Co., and took over its liabilities of Rs. 20,000 for a purchase consideration of Rs. 3,15,000. Blue Prints Ltd., paid the purchase consideration by issuing 12% debentures of Rs.100 each at a premium of 5%. Number of debentures issued are-

1. 1,000

2. 3,000

3. 2,000

4. 1,500

Options 1. 1

2. 2

3. 3

4. 4

Q.31 The clauses of a partnership deed can be altered with the consent of

1. Government Authority

2. Registrar of Firms

3. All the partners

4. State Government

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.32 Which of the following is not a constituents of the credit policy of a business firm?

- 1. Credit standard
- 2. Collection period
- 3. Credit terms
- 4. Collection policy

- Options 1. 1
- 2. 2
 - 3. 3
 - 4. 4

Q.33 Which of the following is not a method of valuation of goodwill?

- 1. Average profit method
- 2. Super profits method
- 3. Capitalisation method
- 4. Average super profit capitalization method

- Options 1. 1
- 2. 2
 - 3. 3
 - 4. 4

Q.34 Identify the false statement with regard to a company:

- 1. A company is an artificial person.
- 2. Company's shares are generally transferable.
- 3. Every member of a company is entitled to take part in its management.
- 4. The director of a company is always a shareholder.

- Options 1. 1
- 2. 2
 - 3. 3
 - 4. 4

Q.35 Balance of share forfeiture account is shown in the balance sheet under the sub-head-

- 1. Current liabilities and provisions
- 2. Reserves and surpluses
- 3. Share capital
- 4. Unsecured loans

- Options 1. 1
- 2. 2
 - 3. 3
 - 4. 4

Q.36 On the admission of a new partner increase in the value of assets is debited to:

- 1. Profit and Loss Adjustment account
- 2. Assets account
- 3. Revaluation Account
- 4. Old partner's capital account

- Options 1. 1
- 2. 2
 - 3. 3
 - 4. 4

Q.37 As per Section 48 of the Partnership Act 1932, which of the following will be utilized for payment of losses, including deficiencies of capital:

- (A) Out of Profits
- (B) Out of capital of Partners
- (C) By partners individually in their profit sharing ratio
- (D) Creditors Assets

Choose the correct answer from the options given below:

- 1. (A), (B) and (D) only
- 2. (A), (B) and (C) only
- 3. (B) and (D) only
- 4. (A) and (C) only

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.38 In the case of dissolution of firm, accumulated losses are transferred to:

- 1. Capital Accounts in Profit Sharing Ratio
- 2. Realisation Account in Profit Sharing Ratio
- 3. Capital Accounts in Equal Ratio
- 4. Realisation Account in Equal Ratio

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.39 Neha contributed Rs. 30,000 and Saloni Rs. 90,000 as capital. What will be Saloni's share in profits if the partnership agreement is silent?

- 1. One third of total profit.
- 2. One fourth of total profit.
- 3. Half of total profit.
- 4. Two third of total profit.

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.40 The company has to get minimum subscription within how many days?

- 1. 100
- 2. 120
- 3. 140
- 4. 160

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.41 When debentures are issued at par and are redeemable at a premium, the loss on such issue is debited to :

- 1. Statement of profit and loss.
- 2. Debentures applications and allotment account.
- 3. Loss on issue of debentures account
- 4. Debenture Redemption Reserve

Options 1. 1

- 2. 2

3. 3

4. 4

Q.42 Match List-I with List-II

List-I

- (A) Restricts the right to transfer its shares
- (B) A company which is a subsidiary of a public company
- (C) A company which has only one person as a member
- (D) Members may come and go but the company continues

List-II

- (I) OPC
- (II) Private Company
- (III) Perpetual Succession
- (IV) Public Company

Choose the correct answer from the options given below:

- 1. (A) - (II), (B) - (IV), (C) - (I), (D) - (III)
- 2. (A) - (II), (B) - (I), (C) - (III), (D) - (IV)
- 3. (A) - (IV), (B) - (II), (C) - (I), (D) - (III)
- 4. (A) - (III), (B) - (IV), (C) - (I), (D) - (II)

Options 1. 1

2. 2

3. 3

4. 4

Q.43 Partners' current accounts are transferred to respective Partners' Accounts.

- 1. Capital
- 2. Realisation
- 3. Current
- 4. Bank

Options 1. 1

2. 2

3. 3

4. 4

Q.44 A and B are partners in a firm sharing profits in the ratio of 3:2. They admitted M as a new partner for 1/4 share. The new profit sharing ratio between A and B will be 2:1. Calculate their sacrificing ratio.

- 1. 2:3
- 2. 3:2
- 3. 1:2
- 4. 2:1

Options 1. 1

2. 2

3. 3

4. 4

Q.45 Which of the following statements are true:

- (A) Dissolution of a partnership is different from dissolution of a firm.
- (B) A partnership is dissolved when there is a death of a partner.
- (C) A firm is dissolved when all partners give consent to it.
- (D) A firm is compulsorily dissolved when a partner decide to retire.

Choose the correct answer from the options given below:

- 1. (A), (B) and (D) only
- 2. (B), (C) and (D) only

3. (A), (B) and (C) only
4. (B), (C) and (D) only

Options 1. 1

2. 2
3. 3
4. 4

Section : Analysis of Financial Statements

Q.46 Arrange the following steps to prepare the Comparative Statements-

- (A) List out absolute figures in rupees relating to two points of time
(B) Prepare the format
(C) Find out the change in absolute figures by subtracting the first year from the second year and indicate the change as increase or decrease.
(D) Calculate the percentage change

Choose the correct answer from the options given below:

1. (B), (A), (D), (C)
2. (B), (A), (C), (D)
3. (B), (C), (D), (A)
4. (C), (B), (D), (A)

Options 1. 1

2. 2
3. 3
4. 4

Q.47 Revenue from operations = 4,00,000 Average Inventory = 55,000 Gross Profit Ratio = 10%. Calculate inventory turnover ratio-

1. 5.65 Times
2. 4.95 Times
3. 6.55 Times
4. 5.15 Times

Options 1. 1

2. 2
3. 3
4. 4

Q.48 Which of the following is not an operating activity?

1. Cash revenue from operations.
2. Cash receipt from trade receivables
3. Selling and distribution expenses paid.
4. Proceeds from sale of old machinery.

Options 1. 1

2. 2
3. 3
4. 4

Q.49 Match List-I with List-II

List-I

(A) Dissolution of firm by agreement

(B) Compulsory dissolution of firm

(C) Dissolution of firm by notice

List-II

(I) When a partner becomes insane

(II) With the consent of all partners

(III) When business of a firm becomes illegal

List-I

(D) Dissolution of firm by Court

List-II

(IV) At the request of any one partner

Choose the correct answer from the options given below:

1. (A) - (II), (B) - (III), (C) - (I), (D) - (IV)
2. (A) - (II), (B) - (III), (C) - (IV), (D) - (I)
3. (A) - (I), (B) - (III), (C) - (IV), (D) - (III)
4. (A) - (III), (B) - (IV), (C) - (I), (D) - (II)

Options 1. 1

2. 2

3. 3

4. 4

Q.50 The ratios are primarily measures of return-

1. Liquidity
2. Activity
3. Debt
4. Profitability

Options 1. 1

2. 2

3. 3

4. 4

Section : Computerized Accounting Systems

Q.51 This sub system deals with the recording of different items purchased and issued specifying the price, quantity and date.

1. Sales and Accounts Receivable Sub System
2. Purchase and Accounts Payable Sub System
3. Inventory Sub System
4. Expense Sub System

Options 1. 1

2. 2

3. 3

4. 4

Q.52 Which of the following is not the advantage of Computerised Accounting System (CAS):

1. Timely generation of reports and information in desired format.
2. Ensures effective control over the system.
3. Efficient record keeping.
4. Generation of non-programmed reports.

Options 1. 1

2. 2

3. 3

4. 4

Q.53 This subsystem deals with the preparation of Profit and Loss accounts, Balance Sheet and Cash Flow statements for reporting purposes.

1. Expense Accounting Sub System
2. Tax Accounting Sub System
3. Final Accounts Sub System
4. Costing Sub System

Options 1. 1

2. 2

3. 3

4. 4

Q.54 ----- sub system deals with payment of wages and salary to employees.

1. Fixed Assets Accounting

- 2. Purchase and Accounts Payable
- 3. Pay Roll Accounting
- 4. Inventory

Options 1. 1

2. 2

3. 3

4. 4

Q.55 _____ ensures security of data even if it lands in wrong hands, because the receiver of data will not be able to decode and interpret it.

- 1. Password
- 2. Encryption
- 3. Grouping
- 4. Classification

Options 1. 1

2. 2

3. 3

4. 4